

NOTE 65

A few instances of control with relatively small investment are as follows:

1. An investment of less than \$20,000,000 by the Van Sweringen interests gave control of eight Class I railroads with combined assets of over \$2,000,000,000. Thus an investment of less than 1% controlled the entire system. See F. I. Shaffner, *The Problem of Investment*, p. 38, New York, 1936. See also pp. 666–667 *supra* for further details of the Van Sweringen pyramid. Subsequently Messrs. Ball and Tomlinson bought this control on a bankrupt basis for \$3,000,000.

2. Prior to 1935 Henry L. Doherty & Co. had 27% of the voting power of Cities Service Co. through ownership of 1,000,000 shares of \$1 par preferred stock which had multiple voting rights as contrasted with the common stock. This arrangement, plus a pyramided capital structure, enabled the \$1,000,000 of preferred stock to control a corporation with consolidated assets of over \$1,250,000,000. See James C. Bonbright and G. C. Means, *The Holding Company*, pp. 113–114, New York, 1932.

3. Prior to 1930 the Standard Gas and Electric System with consolidated assets of \$1,200,000,000 was controlled by H. M. Byllesby & Co., mainly through ownership of 1,000,000 shares of \$1 par preferred stock similar to that of Cities Service Co. (*ibid*, p. 115). Subsequently a reshuffling of the capital structure took place, and thereafter an equity interest of \$3,000,000 or less had a more complete control over this \$1,200,000,000 utility system (*ibid*, p. 116).

4. Stock having a book value of \$8,000,000 and a still smaller market value once controlled the billion-dollar Associated Gas & Electric system (*ibid*, p. 122). During the course of the hearings preceding enactment of the Public Utility Holding Company Act of 1935 it was revealed that Messrs. H. C. Hopson and J. I. Mange, occupying a position at the top of the heap of those in control of this system, obtained through the pyramided holding company device an annual average return during 1923–1929 of 60.82% applicable to their total investment of \$298,318. See *Hearings on H. R. 5423*, before the House Committee on Interstate and Foreign Commerce, pt. 2, 74th Congress and 1st Session, pp. 1473–1476, Washington, D. C., 1935.

5. Through six layers of holding companies the Insull interests controlled the Tide Water Power Co. by an investment of only 0.02% of the total investment in the latter company, as measured by the book value of its outstanding securities. This amounted to control of \$5,000 on an investment of \$1. Similarly, a \$2.50 investment at the top by the Insull interests enabled them to control a \$5,000